AEGIS BANK

Refund & Chargeback Policy

Enterprise AI Decision & Knowledge Platform for Modern Banking

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Document Information

Field	Details
Document Title	Refund & Chargeback Policy
Document ID	**AB-CS-004**
Department	Customer Support & Experience
Version	v1.2
Last Updated	July 24, 2026
Document Owner	Payment Operations Manager
Classification	Confidential
Review Date	July 24, 2027
Approved By	**Sami Khan – Chief Executive Officer (CEO)**

Confidentiality Notice

This document defines the procedures and controls used by Aegis Bank for processing customer refunds, transaction disputes, and chargeback requests.

The objective of this policy is to ensure financial disputes are handled fairly, securely, and according to banking standards.

Unauthorized access or modification of this document is prohibited.

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1. Purpose

The purpose of this policy is to establish a standard process for handling:

- Customer refund requests.
- Card payment disputes.
- Unauthorized transactions.
- Chargeback claims.

This policy ensures:

- Customer protection.
- Financial accuracy.
- Fraud prevention.

- Regulatory compliance.

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2. Scope

This policy applies to:

- Customer Support Teams.
- Payment Operations.
- Fraud Prevention Teams.
- Compliance Department.
- Banking Operations.

It covers:

- Card transactions.
- Digital payments.
- Merchant disputes.
- Failed transactions.
- Unauthorized payments.

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3. Refund & Chargeback Principles

Aegis Bank follows these principles:

Fair Treatment

All refund requests are reviewed objectively.

Security

Customer identity must be verified before processing refunds.

Transparency

Customers receive clear updates about dispute status.

Accuracy

All financial adjustments must be properly reviewed.

Fraud Prevention

Suspicious refund activities must be investigated.

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4. Refund Eligibility Criteria

A refund may be approved when:

- Transaction failed but amount was deducted.
- Duplicate payment occurred.
- Merchant confirms cancellation.
- Service was not delivered.
- Unauthorized transaction is confirmed.

Refund requests may be rejected when:

- Customer information is incorrect.
- Transaction is verified as legitimate.
- Required evidence is unavailable.

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5. Refund Request Process

Refund workflow:

Customer Request

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Identity Verification

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Transaction Review

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Eligibility Assessment

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Approval Decision

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Refund Processing

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Customer Notification

Required information:

- Customer details.
- Transaction reference.

- Payment date.
- Refund reason.
- Supporting evidence.

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6. Customer Verification Requirements

Before processing refunds:

Customer identity must be verified through:

- Account authentication.
- Registered contact verification.
- Security questions.
- Additional verification when required.

Sensitive refund requests require enhanced verification.

Examples:

- Large amount refunds.
- Multiple refund attempts.
- Suspicious activity.

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7. Chargeback Management Process

Chargeback process:

Customer Dispute

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Transaction Investigation

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Evidence Collection

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Bank Review

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Decision

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Settlement

Chargeback reasons include:

- Unauthorized transaction.
- Product/service not received.
- Incorrect transaction amount.
- Duplicate payment.

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8. Transaction Investigation Procedure

Investigation includes:

- Reviewing transaction records.
- Checking payment logs.

- Reviewing customer history.
- Analyzing merchant information.
- Evaluating available evidence.

Investigation team must document:

- Findings.
- Decision reason.
- Supporting evidence.

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9. Fraud Prevention Controls

Aegis Bank uses multiple controls:

Transaction Monitoring

Detects:

- Unusual payment behavior.
- Multiple refund attempts.
- Suspicious transaction patterns.

Identity Verification

Ensures requests come from legitimate customers.

Risk Analysis

High-risk disputes receive additional review.

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10. Approval & Authorization Rules

Refund approvals depend on:

- Refund amount.
- Risk level.
- Transaction type.

Example:

Refund Level	Approval Required
Low Value	Support Supervisor
Medium Value	Payment Operations Manager
High Value	Senior Management

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11. AI-Assisted Dispute Management

Aegis AI OS assists dispute teams.

AI can:

- Classify dispute types.
- Retrieve refund policies.
- Analyze previous cases.
- Suggest investigation steps.

AI Workflow:

Customer Dispute

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AI Classification

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Transaction Data Analysis

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Policy Retrieval

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Risk Assessment

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Human Decision

AI does not independently approve financial refunds.

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12. Refund Tracking & Reporting

All refunds and chargebacks are tracked.

Reports include:

- Refund volume.
- Dispute categories.
- Resolution time.
- Fraud indicators.
- Customer satisfaction.

Reports help improve:

- Payment security.
- Customer experience.
- Operational efficiency.

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13. Practical Examples

Example 1 — Duplicate Payment

Customer:

"I was charged twice for the same transaction."

Process:

1. Transaction history reviewed.
2. Duplicate payment confirmed.
3. Refund initiated.
4. Customer notified.

Example 2 — Unauthorized Card Payment

Customer:

"I did not make this card transaction."

Process:

1. Customer identity verified.
2. Security review performed.
3. Transaction investigated.
4. Chargeback decision made.

Example 3 — Failed Digital Payment

Customer:

"Payment failed but money was deducted."

Process:

1. Payment status checked.
2. Settlement reviewed.
3. Amount refunded if eligible.

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14. Frequently Asked Questions (FAQs)

Q1. What is a chargeback?

A chargeback is a process where a disputed transaction is reviewed and potentially reversed.

Q2. Can every transaction be refunded?

No. Refund eligibility depends on transaction status and investigation results.

Q3. Does AI approve refunds?

No. AI assists employees; final approval remains with authorized staff.

Q4. How does Aegis prevent refund fraud?

Through verification, monitoring, and risk analysis.

Q5. How are disputes tracked?

All disputes receive records containing status, evidence, and resolution details.

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15. Revision History

Version	Date	Description	Author
v1.0	April 22, 2026	Initial Refund & Chargeback Policy Release	Payment Operations Team
v1.1	May 30, 2026	Added Fraud Prevention and AI Assistance Controls	Customer Experience Team
v1.2	**July 24, 2026**	**Enhanced Refund Workflow, Chargeback Investigation, and Risk Management Controls**	**Customer Support Department**

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16. Document Approval

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Next Review Date	**July 24, 2027**

Document Control

Attribute	Value
Document Status	Approved
Distribution	Customer Support, Payment Operations, Compliance Teams

Attribute	Value
Language	English
Storage Location	Aegis Bank Document Management System (DMS)
Retention Period	7 Years
Supersedes	Refund & Chargeback Policy v1.1

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